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 - Exempted Institutions
- Taxpayer Information Series Booklets
 - Tutorial on TDS
 - Tutorial on Income-tax Returns
- Press Releases & Departmental News

Directorate of Income Tax

(Public Relations, Printing Publications & Official Language)
 6th Floor, Mayur Bhawan, Connaught Circus, New Delhi-110001

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KNOW YOUR TDS RATES

FOR FINANCIAL YEAR 2016-17



Income Tax Department

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TDS Rates for Financial Year 2016-17

Nature of Payment	TDS (in %) # (SC, EC, SHEC) *
• Payment of salary to a resident/non-resident -(Sec. 192) (SC : 15% on income exceeding Rs. 1cr. EC : 2%, SHEC : 1%) • Payment of accumulated balance due to an employee-(Sec. 192A) (Maximum marginal rate in case PAN is not furnished by the recipient) • Interest on securities to a resident-(Sec. 193) (I) Interest on (a) debentures/securities for money issued by or on behalf of any local authority/ statutory corporation (subject to notification) (b) listed debentures of a company [not being listed securities in demat form] (c) Any security of the Central or State government provided interest amount is more than Rs. 10,000/- payable on 8% Saving(Taxable) Bonds, 2003 (II) Any other interest on securities on debenture issued by a Company in which public are substantially interested where interest is paid by account payee cheque to an individual or HUF (except interest upto amount of Rs. 5000/-) • Dividend to a resident-(Sec. 194) (Dividend including deemed Dividend u/s 2(22)(e) (However, Dividend upto Rs. 2500 is not liable for TDS if paid by an account payee cheque) • Interest other than interest on securities to a resident (Sec. 194A) (However, interest upto Rs. 10,000/- paid by Bank or Co-operative Society carrying on the business of banking or Post Office or upto Rs. 5,000/- by any other entity, is not liable for TDS) • Winnings from lottery or crossword puzzle or card game or other game of any sort to a resident/ non-resident (Sec. 194B) (However, amount upto Rs. 10,000/- is not liable for TDS) • Winnings from horse races to a resident/non-resident (Sec.194BB) (However amount upto Rs. 5,000/- is not liable for TDS) • Payment to resident contractor/sub-contractor - (Sec. 194C) a. Payment/credit to an individual or a Hindu Undivided Family b. Payment/credit to any person other than an individual or a Hindu Undivided Family • Insurance commission to a resident exceeding Rs. 20,000 (upto 31.05.2016)/Rs. 15,000/- (w.e.f. 01.06.2016)(Single payment or aggregate) (Sec. 194D) a. Payment/credit to a person other than a company b. Payment/credit to a company • Payment to a resident in respect of Life Insurance Policy (Sec. 194DA) (a) Including sum allocated by way of bonus on such policy (b) Excluding amount not includible under clause (10D) of section 10 (However, amount upto Rs.1 lac is not liable for TDS) • Payments to a non resident sportsman or an entertainer or sports association (Sec. 194E) • Payments in respect of deposits under National Saving Scheme, 1987 to resident/non-resident (Sec. 194 EE) (However, amount upto Rs. 2,500/- and the amount paid to the heirs of the assessee is not liable for TDS) • Payment on account of repurchase of units by MF or UTI to a resident/non - resident (Sec. 194F) • Commission, etc., on the sale of lottery tickets to a resident/non-resident. (194G) (However, amount upto Rs. 1,000/- {upto 31.05.2016}/Rs. 15,000/- {w.e.f. 01.06.2016} is not liable for TDS) • Commission or brokerage to resident (Sec. 194H) (However, amount upto Rs. 5,000/- {upto 31.05.2016}/Rs. 15,000/- {w.e.f. 01.06.2016} is not liable for TDS) • Rent to a resident – (Sec. 194-I) a. Rent of plant and machinery b. Rent of land or building or land appurtenant to a building or furniture or fittings (However, amount upto Rs. 1,80,000/- is not liable for TDS) • Deduction of tax on payment on transfer of immovable property other than agricultural land (Sec. 194 IA) (No deduction where consideration for transfer is less than Rs. 50 lakh) • Fees for professional or technical services to a resident (Sec. 194J) (However, amount upto Rs. 30,000/- is not liable for TDS) • Payment of compensation, exceeding Rs. 2 lakh (upto 31.05.2016) / Rs. 2.50 lakh (w.e.f. 01.06.2016) to a resident on acquisition of certain immovable property (Sec. 194LA)	Normal Tax Rate 10 10 10 10 10 10 10 30 30 1 2 10 (upto 31.05.2016) 5 (w.e.f 01.06.2016) 10 2 (upto 31.05.2016) 1(w.e.f 01.06.2016) 20 20(upto 31.05.2016) 10(w.e.f. 01.06.2016) 20 10 (upto 31.05.2016) 5 (w.e.f. 01.06.2016) 10 (upto 31.05.2016) 5 (w.e.f. 01.06.2016) 2 10 1 10 10

SC - Surcharge, EC - Education Cess, SHEC - Senior & Higher Education Cess

1. Surcharge, Education Cess and Secondary & Higher Education Cess are applicable for TDS purposes in the case of tax deduction from payment of salary to a resident or a non-resident or a foreign company. In no other case are applicable for TDS purposes.
2. If the payment/likely payment exceeds Rs. 1 crore, surcharge is to be calculated:-
 - a. at the rate of 15%, if the recipient is a non-resident being a person other than a company or firm or co-operative society.
 - b. at the rate of 12%, if the recipient is a non-resident being a co-operative society or firm.
3. If the recipient is a company other than a domestic company, surcharge is to be calculated:-

- a. at the rate of 2% if the payment/likely payment exceeds Rs. 1 crore but does not exceed Rs. 10 crore.
 - b. at the rate of 5%, if the payment/likely payment exceeds Rs. 10 crore.
4. In the case of non-resident person and company other than domestic company "Education Cess on Income-tax" and "Secondary and Higher Education Cess on Income-tax" shall be calculated at the rate of two percent. and one per cent. respectively, of income tax including surcharge, wherever applicable.
- # As per section 206AA of the I.T. Act, 1961, if PAN is not provided by the deductee then rate as per relevant provision of the Act or the rate in force or at the rate of 20%, whichever is higher, is to be deducted.